

trendline several times and cross the pattern from top to bottom, filling the space with price movement.

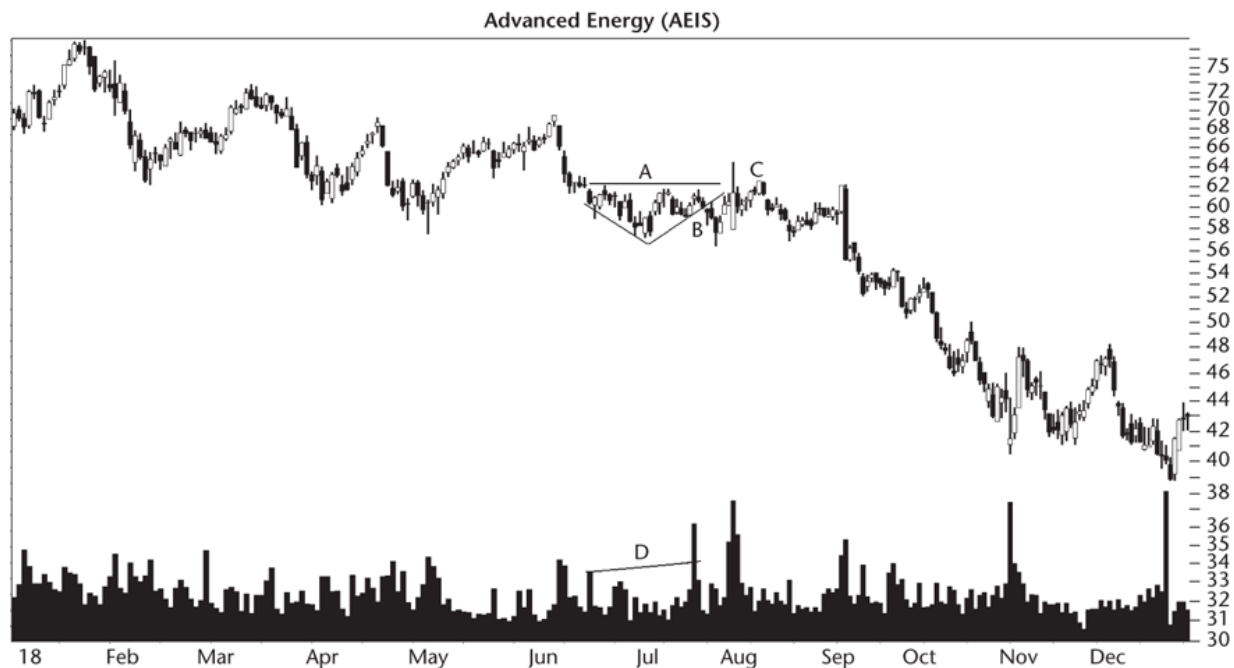


Figure 54.1 This inverted roof occurs in a downtrend and has a downward breakout.

This inverted roof has a downward breakout, which occurs at B, when price closes outside of the trendline boundary. The breakout can be in any direction and it splits about evenly between up and down. Price rises to C and closes above the top of the pattern, which busts the downward breakout. Price tumbles and double busts the pattern.

My eyes say I'm wrong, but linear regression says volume trends upward from pattern start to end. I show that at D. It's probably due to the high spike near the end of the pattern.

If you look closely at the inverted roof, you might see left and right shoulder bottoms, suggesting this is really a head-and-shoulders bottom. However, this inverted roof breaks out downward, so it's not a head-and-shoulders bottom (by definition, because they always breakout upward).

Many inverted roofs have price trending upward into the start of the pattern, so any pattern forming would be a top and not a bottom. Again, that's by definition. Coupled with a horizontal “neckline” (top) and you have the making of an inverted roof like that shown.